

facilities, and a mix of tradition and modernity are also working in the city's favour, say experts. "From the Central Business District, getting to IT corridor OMR (old Mahabalipuram road) or the airport doesn't even take half the time it does in Bengaluru," says Das.

BUT THIS ISN'T solely a tech-driven surge. As the domestic sectors are doing well, engineering, healthcare and logistics are also fuelling the growth in office space consumption here. For example, prominent wind turbine firm Vestas recently secured 250,000 sq. ft of space. What's intriguing is that even legacy home-grown firms are joining the race. Previously confined to their corporate houses or factory spaces, these firms like Murugappa Group's Cholamandalam Finance and TVS Credit are seeking grade-A office spaces much like MNCs, indicating a shift in their operational strategies. Both Cholamandalam and TVS Credit declined to discuss their plans for the story.

Olympia's Kankaria says, "The Murugappa Group is now a dominant office space user in Guindy. Earlier, they were not a part of managed office spaces. Traditionally, these firms have liked to own their assets. But now they are also looking at value in leasing space in new-gen buildings because of their growth needs."

IndiQube also confirmed that they are in talks with several legacy firms for flexi spaces. "These firms face pressure from their tech talent who want to be in swanky offices. So, they make an exception for their tech talent at least or start their experiment with the new-age businesses," says Das. IndiQube recently leased out a 100,000 sq. ft property to Air India near Raj Bhavan in Chennai. "It was an experiment that worked so well that a lot of senior employees are putting up selfies on social media. Now we are talking to Air India for at least 5-6 locations across the country."

As Chennai rises as a preferred office destination, rents have also inched up marginally in most submarkets. L&T's Joshi expects the Manapakkam rentals to increase further from ₹65-70 per sq. ft per month in the near term due to increasing demand and a shortage of Grade A+ office buildings with a campus ecosystem. But the city still has some way to go. The recent Cyclone Michaung has exposed many chinks in its armour, notably as the city is gearing up for a Global Investors Meet in the first week of January 2024. Tamil Nadu's nodal agency for investment promotion, 'Guidance', did not respond to *Business Today's* requests for a comment, but major MNCs are undeniably



"Whether it is cash, trade, liability, asset, services, compliance, risk, technology, finance or HR... there's a huge talent set available here [in Chennai]"

VENKATAKRISHNAN SUBRAMANIAM

HR HEAD-CHENNAI,
STANDARD CHARTERED
GBS INDIA



"Chennai is minimalist and functional, unlike Bengaluru which benchmarks everything with Silicon Valley. They (employees) don't expect too many add-ons"

RISHI DAS

CO-FOUNDER AND CEO,
INDIQUBE

considering such occurrences while assessing risks before determining their strategic locations. "After last year's Bengaluru floods, larger companies ask for flood and topography reports before setting up offices in the city now. Earlier, nobody bothered to ask for these things," says IndiQube's Das. Experts say it is only a matter of time before more companies follow suit. Which means, Chennai still has some work cut out for itself, if it wants to cement its place as a preferred city for quintessential office spaces in India. **BT**

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